

BANK LOAN REPORT

DOMAIN KNOWLEDGE & TERMINOLOGIES

1. Introduction

Bank loans are an important financial service that enables individuals and businesses to fulfill their financial needs such as education, housing, business expansion, and personal expenses.

For banks, loans are a major source of income and also involve financial risk. Therefore, proper analysis of loan data is essential to ensure safe lending practices, minimize defaults, and improve profitability.

This document explains how banks collect loan data, how the loan approval process works, and the key terminologies used in banking analytics.

2. Sources of Bank Loan Data

Banks collect loan-related data from multiple sources:

1. Loan Applications

Customers provide personal, financial, and employment details when applying for loans.

2. Credit Reports

Banks use credit bureau data to evaluate credit history, credit score, and repayment behavior.

3. Internal Bank Systems

Banks store records of:

- Loan disbursement
- Repayments
- Interest calculations
- Loan status updates

4. Online Banking Platforms

Digital platforms collect real-time data on:

- Applications
- Payments
- Account activity

5. Third-Party Sources

Banks may use external services for:

- Income verification
 - Identity verification
 - Risk assessment
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3. Process of Loan Approval

The loan approval process includes multiple steps:

1. Loan Application

Customer submits a loan request with required details.

2. Application Review

Bank checks documents like income proof, identity proof, and credit history.

3. Identity Verification

Confirms the authenticity of the applicant.

4. Credit Check

Evaluates credit score, past loans, and repayment behavior.

5. Income Verification

Assesses the borrower's earning capacity using salary slips, tax records, etc.

6. Debt-to-Income (DTI) Check

Measures ratio of monthly debt to monthly income.

7. Employment Verification

Checks job stability and employment history.

8. Risk Assessment

Bank evaluates overall risk based on financial and credit factors.

9. Loan Approval or Rejection

Decision is made based on risk evaluation.

10. Loan Agreement

Terms like interest rate, tenure, and repayment schedule are finalized.

11. Disbursement

Loan amount is transferred to the borrower.

12. Repayment Monitoring

Bank tracks monthly repayments and loan performance.

4. Why Banks Analyze Loan Data

Banks analyze loan data for the following reasons:

1. Risk Management

To identify potential loan defaults and minimize financial losses.

2. Decision Making

To approve or reject loan applications using data-driven insights.

3. Portfolio Management

To monitor overall loan performance and health.

4. Fraud Detection

To identify suspicious or fraudulent loan applications.

5. Regulatory Compliance

To follow banking regulations and reporting standards.

6. Customer Insights

To understand customer behavior and improve services.

7. Profitability Analysis

To evaluate interest income and financial returns.

8. Market Analysis

To identify trends in lending and customer demand.

9. Credit Risk Management

To continuously monitor borrower risk levels.

10. Customer Retention

To offer better loan products and retain customers.

5. Key Loan Terminologies

1. Loan ID

A unique identifier for each loan application used for tracking and management.

2. Loan Status

Indicates the current status of a loan:

- Fully Paid
- Current
- Charged Off

3. Interest Rate

The percentage charged on the loan amount as cost of borrowing.

4. Annual Income

Total yearly income of the borrower used to assess repayment capacity.

5. Debt-to-Income Ratio (DTI)

A ratio that compares monthly debt payments to monthly income.

6. Installment

Fixed monthly repayment amount including principal and interest.

7. Loan Amount

Total principal amount borrowed by the customer.

8. Term

Duration of the loan (e.g., 36 months, 60 months).

9. Purpose

Reason for taking the loan (e.g., debt consolidation, education, home improvement).

10. Grade

Risk classification assigned to loans based on creditworthiness.

11. Sub Grade

More detailed risk category within each grade.

12. Home Ownership

Borrower's housing status:

- Own
- Rent
- Mortgage

13. Verification Status

Indicates whether borrower details are verified.

14. Employee Length

Number of years the borrower has been employed.

15. Employee Title

Job role or profession of the borrower.

16. Issue Date

Date when the loan was issued.

17. Last Payment Date

Date of most recent loan payment.

18. Next Payment Date

Expected date of the next installment.

19. Last Credit Pull Date

Date when credit report was last checked.

6. Conclusion

Understanding loan data and banking terminology is essential for analyzing financial performance and risk. These concepts help in evaluating borrower behavior, improving lending decisions, and ensuring efficient loan portfolio management.

This knowledge forms the foundation of data-driven banking analysis and supports the development of accurate dashboards and financial insights.